



WHO ARE SHAREHOLDERS?

A shareholder is an individual, company, or institution holding at least one share of equity in a company. As owners, shareholders benefit from the company's success, either through increased stock valuations or financial earnings distributed as dividends. Conversely, if the corporation incurs losses, the share price declines, resulting in financial losses for shareholders and a decrease in their portfolio value. A majority shareholder is defined as an entity or person holding and controlling over 50% of a company's outstanding shares, while minority shareholders own less than 50% of the company's equity.

Under a corporation's charter and bylaws, shareholders typically have the following rights:

- The authority to review the company's books and records.
- The ability to sue the corporation for the actions of its directors or executives.
- The power to vote on significant company matters, such as electing board directors and approving potential mergers.
- The right to receive dividends.
- The right to participate in annual meetings either in person or via conference calls.
- The ability to vote on crucial issues by proxy if they cannot attend voting meetings in person, using mail-in ballots or online voting platforms.
- The right to a proportional share of the proceeds if the corporation liquidates its assets.

Shareholding Type	Shareholding Category Distribution	
Promoter Shareholding	Domestic – ● Government ● Corporate ● Banks and financial institutions ● Individuals	Foreign – ● Institutions ● Corporates ● Qualified investors (Foreign) ● NRIs or other foreign individuals
Public Shareholding	Institutional – ● Government ● Banks and financial institutions ● Venture capital funding (Indigenous or foreign) ● FII's ● Other qualified foreign investors ● Insurance/mutual fund companies	Non-institutional – ● Individuals ● Corporate investors ● Other investing bodies such as trusts, NRIs, and clearing members ● Foreign Depository Receipt custodians

